



RAJA SHANMUGHAM,
PARTNER, WARSAW INT'L
Being an integrated
player with all facilities
helps them cut costs
and retain customers.

**"Smaller exporters
cannot cope with the
rising rupee as their
margins are too thin."**

TEXPROCIL, Apparel Exporters' Promotion Council and the Mill Owners' Association together are running a campaign in newspapers questioning the government's step-motherly treatment towards the textile industry. The advertisement states: "Knowledge-based industries employing urban graduates and operating at well over 30 per cent profits receive all kinds of benefits. Profit earned in the share market, a privilege enjoyed by the top 3 per cent of the population, is

exempt from taxation. But the textile and clothing industry, while providing inclusive growth, is asked to export state levies and provide for bulk of the cross subsidy given in electricity. Where is the logic?"

Almost in response to the advertisement, Finance Minister P. Chidambaram urged the state governments to provide rebate or refund all taxes on exports during the 54th meeting of the National Development Council in Delhi. Said Chidambaram:

"The Central Government rebates or refunds every tax that is payable or paid and is attributable to goods and services that are exported. The state governments should abide by the universally accepted principle that taxes shall not be exported. Taxes such as value-added tax, Octroi and electricity duty, at present borne by exporters should be rebated or refunded."

As the buck keeps shifting between the states and the Centre, exporters have started panicking as a concrete package or policy still hasn't been worked out, despite the fact that they have been earning precious dollars much before the foreign institutional investors started pumping billions of dollars into the stock markets. Interestingly, India's new-found status as an emerging powerhouse is also working against it in the marketplace. While a lesser developed country, Bangladesh, is able to export its goods at zero customs duty, a duty of 10 per cent is slapped on Indian exports and added to this is a currency appreciation of 12 per cent which altogether makes Indian exports dearer by 22 per cent. Ironically, Bangladesh which sources cotton and other raw materials from India totted up clothing exports of \$8.7 billion (Rs 34,319 crore) compared to India's \$8.3 billion (Rs 32,735 crore).

With external trade accounting for an increasing chunk of India's gross domestic product, it's crucial to provide assistance to India's exporters who have steadily been adding dollars to the country's forex reserves. While currency fluctuations are a part of the globalised world, the fledgling export industry of India is unlikely to manage a drastic change in scenario. Apart from broader measures, the industry has sought more direct aid in terms of reimbursement of forward premium paid for currency hedging mechanism and reimbursement of state-level taxes. It's a tight-rope walk for both the policy-makers as well as the exporters, and any delay will mean a sudden death for Indian exports. ■



P VIDHYAPRAKASH,
DIRECTOR, STYLEMAN EXPORTS
Production is down by
20%. Working on a
no-profit, no-loss basis
to retain old customers.

**"We hope our pleas will
be heard. Once buyers
move away, they won't
come back in a hurry."**